

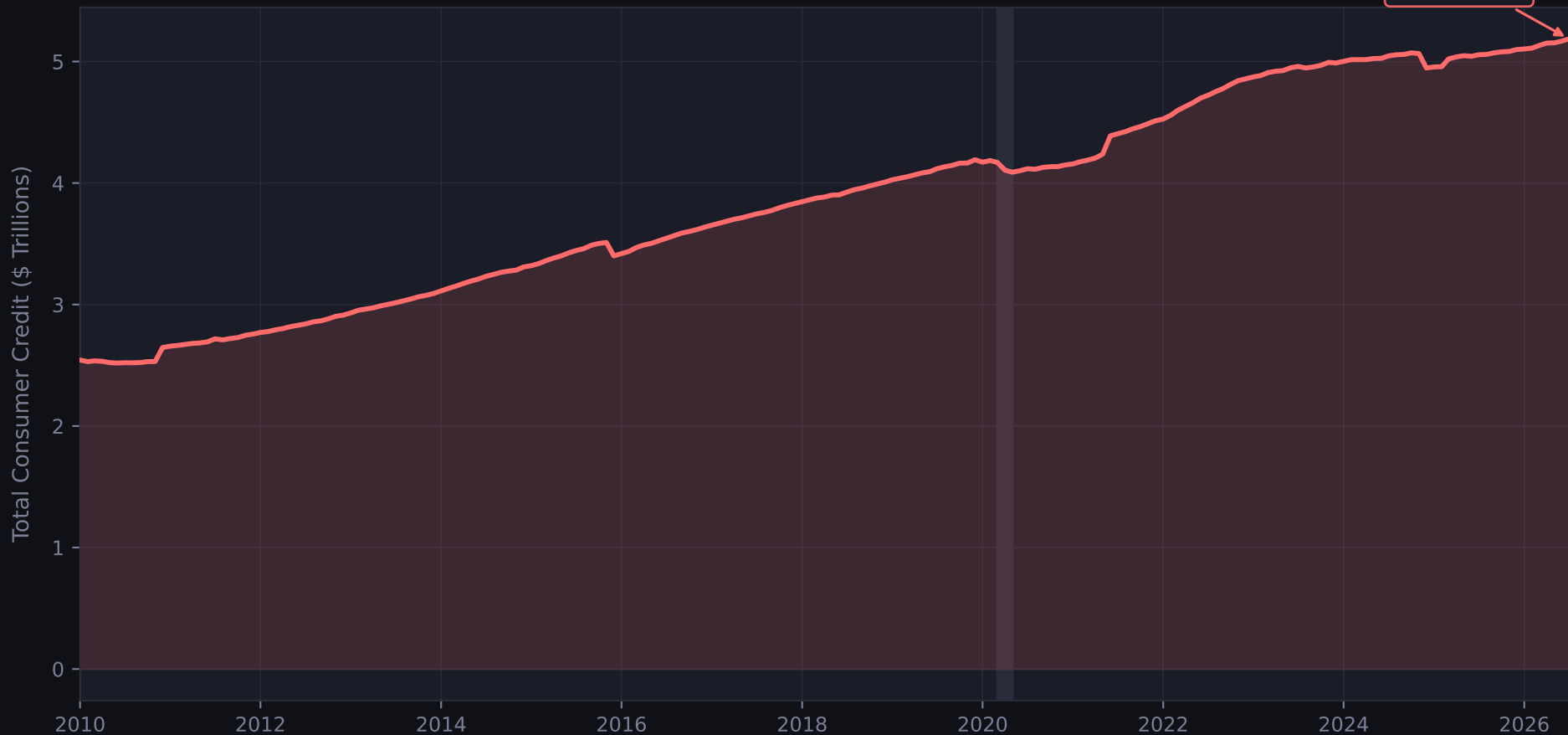
The American Consumer Is Running Out of Road

A three-part visual story on consumer debt, savings collapse,
and the rising tide of credit card delinquencies.

Data: FRED, Federal Reserve Bank of St. Louis

American Consumer Debt Has Never Been Higher

\$5.19T
All-time high



Source: FRED — TOTALSL | Shaded areas = US recessions

Chart 1 — Consumer Debt at an All-Time High

Total consumer credit outstanding has surged past previous records, now exceeding \$5 trillion. Even through the 2020 recession, the post-pandemic rebound in spending pushed debt to historic levels. This sets the stage for a fragile consumer balance sheet heading into a high-rate environment.

The Safety Net is Gone — Savings Have Collapsed

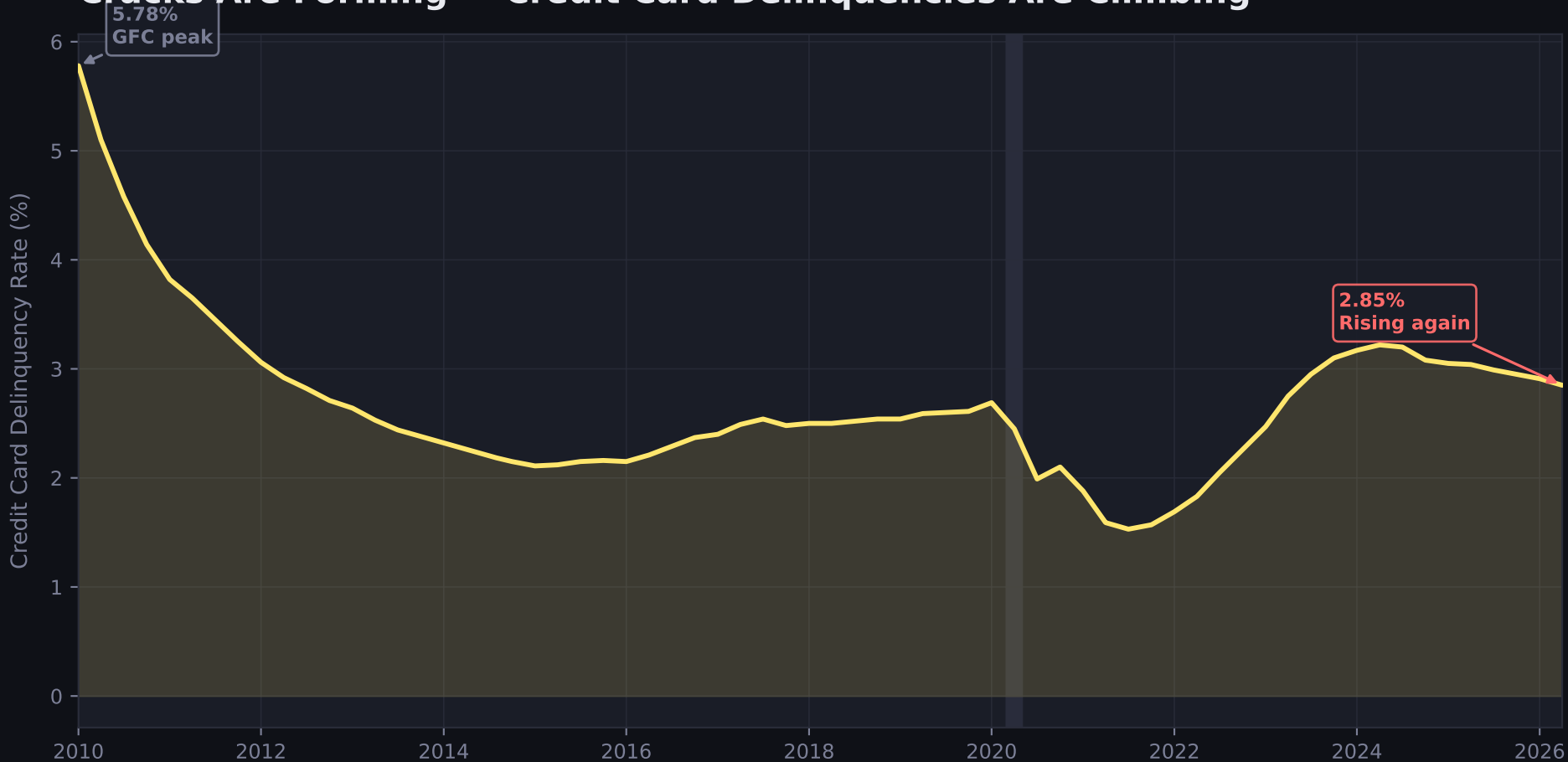


Source: FRED — PSAVERT | Shaded areas = US recessions

Chart 2 — The Savings Safety Net Has Collapsed

The personal savings rate spiked dramatically during COVID stimulus, briefly reaching over 30%. But that buffer has since evaporated. Today's savings rate is near its lowest point in over a decade, meaning consumers have little cushion to absorb financial shocks — they're running on fumes.

Cracks Are Forming — Credit Card Delinquencies Are Climbing



Source: FRED — DRCCLACBS | Shaded areas = US recessions

Chart 3 — Delinquencies Are Rising: The Cracks Are Showing

Credit card delinquency rates have been climbing steadily since 2022. With debt at record highs and savings nearly gone, more consumers are missing payments. This is the logical conclusion: when the buffer disappears, the debt comes due — and a growing number of Americans can't pay it.